Flagstar Bank

Escrow Waiver Eligibility Guidelines

ELIGIBILITY

Flagstar Bank will consider a request for a tax and homeowner insurance escrow waiver. Underwriting will evaluate the request during the credit review and issue the escrow waiver approval prior to closing.

REQUIREMENTS

All escrow waiver requests must meet the following requirements:

- LTV must be 80% or less [1]
- Allowable on owner occupied and second home properties with an Accept or Approve from LPA/DU and a minimum credit score of 620. No assets other than those required by LP/DU need to be verified.
- Allowable on investment properties with an Accept or Approve from LP/DU and a minimum credit score of 700. LPA/DU required assets, in addition to one-year of taxes, must be verified.

Escrow waivers are subject to underwriting approval and are not allowed on loans requiring Mortgage Insurance. [1]

1. **Due to state law, for California loans only, escrow waivers are permitted up to a 90% LTV; however, mortgage insurance must be escrowed by Flagstar Bank. Under no circumstances, in any state, can mortgage insurance escrows be waived when MI is required.**

RESTRICTIONS

- Flood insurance must be included in the borrowers escrow account even if all other escrows have been waived.
- If the borrower is not establishing an escrow account, an upcoming tax payment or insurance payment is not allowed to be rolled into the new loan amount on a rate and term transaction unless requiring an escrow account is prohibited by a state law or regulation. For cash out transactions, the loan amount cannot include the financing of real estate taxes when the taxes are more than 60 days delinquent if escrows are being waived.
- It is the responsibility of the originator to understand and be in compliance with individual state regulations regarding escrow waivers and fees.
- Transactions considered HPML per Compliance procedures, Doc. #4801, are not eligible for an escrow waiver.

The standard escrow provision must remain in the mortgage documents. Flagstar Bank may, at its discretion, enforce the requirement if the borrower fails to act responsibly.

SUBMISSION

If the borrower(s) are requesting an escrow waiver, the request can be applied or revoked by the lender within Loantrac. Refer to *Loantrac Escrow Waiver – Quick Reference Guide*, Doc. #2112 for instructions.

DOCUMENTS

The *Escrow/Impound Waiver Agreement*, Doc. #3614, submitted in the closing package.

PRODUCTS

GOVERNMENT PRODUCTS

Escrow waivers not allowed

MORTGAGE INSURANCE

Products utilizing the *Lender Paid Mortgage Insurance* or *No MI* options are not eligible for escrow waivers.

PRICING/FEES

There is a loan level price adjustment for an escrow waiver on correspondent loans (there is no adjustment on broker loans) in lieu of an escrow waiver fee. The price adjustment can be found on our Price Indication Sheets and/or Flagstar Pricing Engine. There are no adjustments for partial escrow waivers if only homeowner insurance is waived.

DISCLOSURES

If the escrow waiver is approved, it is the obligation of the borrower to pay the amounts for any and all escrow items when due, in addition to paying the mortgage loan payment.

The lender shall have the right to establish or re-establish an escrow account for the payment of the escrow items in accordance with the terms of the loan documents in the event that during the term of the mortgage loan:

- The borrower fails to pay any of the escrow items in a prompt and timely manner.
- The borrower fails to provide the lender with evidence of payment of the escrow items within two weeks following the receipt of a written request from the lender.
- The borrower is otherwise in default under the terms of the mortgage loan documents.
- It becomes necessary for the lender to advance funds to pay all or any portion of the escrow liens.

If the borrower fails to maintain any of the required insurance coverage, the lender may opt to obtain insurance coverage at the borrower's expense. Such coverage shall cover the lender, but might or might not protect the borrower. The cost of the insurance coverage obtained by the lender might exceed the cost of insurance the borrower could have obtained. Any amounts paid by the lender shall be the responsibility of the borrower.